

Kokusai Electric

6525.T 6525 JP / EQUITY: JAPAN SEMICONDUCTOR PRODUCTION EQUIPMENT

We raise our forecasts, including for company-specific factors, keep our Buy rating

We think sales growth could outpace WFE market growth from 28/3 even taking into account factors such as plant capacity utilization

We raise forecasts, including for company-specific factors, reiterate Buy rating

We raise our operating profit forecasts for Kokusai Electric. We nudge up our outlook for the WFE market versus our assumptions as of July, and raise our forecasts substantially to reflect company-specific factors. We still see relatively large scope for margin improvement over the medium term not only from sales growth in excess of the WFE market average and price hikes to pass on cost increases, but also from a rise in the weighting of equipment with high added value such as mini batch ALD systems used in NAND and some GAA applications and single-wafer treatment systems expected to see broader adoption in DRAM and other areas. We nudge up our target price, as although the average P/E for the Russell/Nomura Large Cap Index (ex financials) benchmark has fallen, we raise our EPS forecast.

Factors behind upward revisions include growth in areas of strength for the company and advanced packaging PORs

Guidance for 27/3 is higher than our previous forecast owing to greater-than-expected growth in demand in areas of strength for the company, including global NAND and DRAM in China. It raised its 27/3 sales guidance for advanced packaging applications from ¥6.0bn to ¥15.0bn to reflect the acquisition of new processes of record (POR), and we raise our 27/3 forecasts to also take into account these substantial company-specific factors. Based on the company's current equipment lead times, we see little upside versus 27/3 guidance. We nudge up our WFE market forecasts for 28/3 onwards. Upside risks to our profit forecasts relate to margins, as we are using conservative assumptions for factors beyond the increase in sales, and we will be watching whether the company can achieve the margin improvement it is guiding for in Q2.

We forecast plant capacity utilization of just over 80% in 27/3 H2, see potential for sales growth from 28/3

We think sales could rise by at least 20% y-y in 28/3 and 29/3 despite concerns about capacity constraints. The company's Tonami plant came on stream in 2024, and we assume capacity utilization (on a theoretical basis) of just over 80% at the Tonami plant in 27/3 H2, which suggests it should be able to generate sales of ¥400-450bn in 28/3. In 29/3, we think the company will be able to increase capacity to at least 1.2x the current level by adding clean rooms at the Tonami plant. We assume that the land next to the Tonami plant the company has acquired will contribute to earnings from 30/3 or later.

Earnings table

	26/3	27/3E			28/3E		29/3E	
	Actual	Old	New	Co's	Old	New	Old	New
Sales (¥mn)	235,079	309,200	343,000	340,000	385,500	425,300	462,500	511,100
Adjusted OP (¥mn)	47,596	74,200	87,500	86,000	105,000	120,500	137,700	157,100
% y-y	-17.6	55.9	83.8	80.7	41.5	37.7	31.1	30.4
Adjusted EPS (¥)	146.1	229.7	272.4	256.9	328.2	379.2	439.4	503.9
Adjusted P/E (x)	63.7	40.5	34.2	—	28.4	24.5	21.2	18.5
Adjusted EV/EBITDA (x)	—	—	—	—	—	—	—	—
P/B (x)	9.9	8.6	8.3	—	7.4	7.0	6.6	6.1
Dividend yield (%)	0.4	0.6	0.6	—	0.9	0.9	1.1	1.1
Adjusted ROE (%)	16.4	22.8	26.5	—	28.2	31.1	33.2	35.4
Net debt equity ratio (x)	Net Cash	Net Cash	0.0	—	Net Cash	Net Cash	Net Cash	Net Cash

Source: Company data, Nomura estimates (also see "Other notes" in the "Key data" section)

Rating

Remains

Buy

Target price

Increased from 11,300

JPY 11,800

Closing price

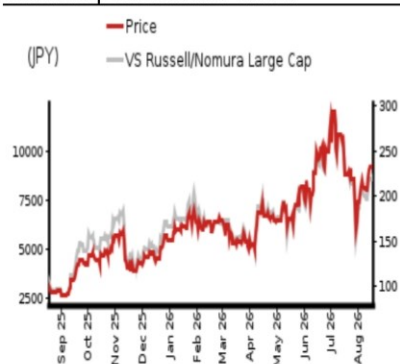
17 August 2026

JPY 9,306

Implied upside

+26.8%

Relative performance chart



Source: LSEG, Nomura

Performance / Stock price data

(%)	1M	3M	12M
Absolute returns	5.7	41.2	203.5
Relative to Russell/Nomura Large Cap	-1.5	31.6	164.1
Market capitalization (¥bn)	2,215.9		
52-week low stock price (¥)	2,607		
52-week high stock price (¥)	12,220		
Shares outstanding (mn)	238.1		
Daily turnover (3-M avg) (¥mn)	71,801.8		

Note: Market capitalization and shares outstanding in this table include treasury stock.
Source: LSEG, Nomura

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Key data on Kokusai Electric

Valuation and ratio analysis	IFRS	IFRS	IFRS	IFRS	IFRS
	cons.	cons.	cons.	cons.	cons.
	25/3	26/3	27/3E	28/3E	29/3E
EPS (¥)	154.6	129.0	253.2	360.3	486.0
Adjusted EPS (¥)	181.7	146.1	272.4	379.2	503.9
BPS (¥)	842.1	938.6	1,127.2	1,324.0	1,534.7
DPS (¥)	37.0	37.0	55.0	80.0	100.0
Dividend payout ratio (%)	23.9	28.7	21.7	22.2	20.6
ROE (%)	18.8	14.5	24.5	29.4	34.0
Adjusted ROE (%)	22.1	16.4	26.5	31.1	35.4
Net margin (%)	15.1	12.8	17.2	19.6	21.6
Asset turnover rate (x)	0.7	0.7	0.9	0.9	1.0
Equity ratio (%)	57.4	61.0	59.5	60.8	61.6
Shares outstanding (mn)	232.9	233.6	233.1	230.4	224.8

Income statement

(¥mn)	25/3	26/3	27/3E	28/3E	29/3E
Sales	238,933	235,079	343,000	425,300	511,100
Operating profits	51,320	41,836	80,900	113,900	150,500
Operating profits (adj.)	57,753	47,596	87,500	120,500	157,100
Adjusted EBITDA	64,471	55,970	98,000	133,000	170,400
Recurring profits	—	—	—	—	—
Pretax profits	50,789	40,739	79,800	112,800	149,400
Profits attributable to noncontrolling interests	0	0	0	0	0
Profits attributable to owners of parent	36,004	30,099	59,100	83,500	110,600
(Equity in net income of affiliates)	—	—	—	—	—

Balance sheet

(¥mn)	25/3	26/3	27/3E	28/3E	29/3E
Current assets	172,852	185,839	255,100	303,700	362,200
Liquidity on hand	44,755	56,543	67,500	71,700	83,900
Operating receivables	42,835	37,941	55,400	68,700	82,600
Inventories	83,200	88,890	129,700	160,800	193,200
Noncurrent assets	168,660	173,819	186,800	197,700	197,800
Total assets	341,512	359,658	441,900	501,400	560,000
Operating payables (current)	23,606	25,354	37,000	45,900	55,200
Interest-bearing debt	60,184	49,865	68,100	68,100	68,100
Total liabilities etc.	145,344	140,388	179,100	196,400	215,000
Net assets	196,168	219,270	262,800	305,000	345,000
Shareholders' equity attributable to parent company	196,168	219,270	262,800	305,000	345,000

Cash flow statement

(¥mn)	25/3	26/3	27/3E	28/3E	29/3E
Operating cash flow	38,477	48,801	38,400	75,500	102,800
Profits attributable to owners of parent	36,004	30,099	59,100	83,500	110,600
Depreciation	12,625	14,279	16,000	19,100	19,900
Amortization of goodwill	0	0	0	0	0
Change in working capital	-3,320	38,952	-46,600	-35,500	-37,000
Investment cash flow	-27,706	-16,954	-30,000	-30,000	-20,000
Capex	-20,348	-16,862	-30,000	-30,000	-20,000
Free cash flow	10,771	31,847	8,400	45,500	82,800
Financial cash flow	-58,106	-21,514	2,600	-41,300	-70,600
Change in interest-bearing debt (IBD)	-32,834	-10,319	18,235	0	0
Dividends	-6,711	-8,617	-10,300	-16,300	-20,600
Cash & cash equivalents	44,755	56,543	67,543	71,743	83,943

Forex assumptions, sensitivity

	Forex assumptions (¥)			Forex sensitivity (¥mn)
	27/3 Co's E	27/3E	28/3E	27/3E
USD/JPY	—	159.84	160.00	—
EUR/JPY	—	—	—	—

Note: Forex sensitivity indicates the impact on our 27/3 forecast for operating profits from each ¥1 change in our forex assumptions in the direction of a weaker yen.

Source: Company data, Nomura estimates except where noted otherwise

Company profile

Kokusai Electric was formed from the thin-film process solutions business at Hitachi Kokusai Electric, which operated as a subsidiary of Hitachi. Its main businesses are SPE manufacture, sales, installation and maintenance services.

Valuation Methodology

We calculate our target price of ¥11,800 by multiplying our 29/3 adjusted EPS forecast of ¥503.9 by a P/E of 23–24x. Our overarching fair-value P/E for the Japanese SPE sector companies under our coverage is 20–21x, which references the Russell/Nomura Large Cap Index (ex financials) average P/E of roughly 15x on 29/3 forecasts as a benchmark, along with a relative P/E of 1.3–1.4x, representing the maximum relative P/E at which sector shares traded during the recovery phase of the previous SPE cycle. We apply a premium of around 10–20% to the sector average fair-value P/E, as our adjusted operating profit CAGR forecast for the two years from 29/3 of around 12% is higher than the sector average of around 11.5%.

Risks that may impede the achievement of the target price

Downside risks to our target price include: (1) contraction in capex by semiconductor manufacturers stemming from changes in demand; (2) disappearance of transactions with particular customers; (3) further intensification of US–China trade friction; and (4) fiercer competition in vertical furnaces, including batch-type ALD systems.

Other notes

Adjusted operating profits, adjusted EBITDA, and adjusted profits attributable to owners of the parent are operating profits and EBITDA after subtracting other income and adding back in other expenses, adjusted for PPA amortization, standalone-related costs, management fees, sale-related costs, and stock-based compensation expenses excluding extraordinary factors. Adjusted EPS and adjusted ROE use adjusted profits attributable to owners of the parent. The company's shareholder return policy calls for a consolidated dividend payout ratio of around 20–30% and dividends and share buybacks equivalent to around 70% of free cash flow after the redemption in installments of interest-bearing debt once net cash has turned positive. Based on this shareholder return policy, our forecasts assume share buybacks of ¥5.3bn in 27/3, ¥25.0bn in 28/3, and ¥50.0bn in 29/3.

ESG

Has set group decarbonization targets consistent with target of keeping temperature rise to 1.5 degrees Celsius as set out in the Paris Agreement, aims to cut CO2 emissions by 50% versus FY21 level by FY30, and also aims to reduce CO2 emissions per wafer by 30%. Has established the Kokusai Electric Way as new corporate mission, shifting to phase of enhancing the level of sustainability management in the overall group, and stepping up initiatives for both the business and ESG while being aware of the company's social responsibility.

Detailed earnings forecasts

Fig. 1: Consolidated segment information

Consolidated segment information		23/3	24/3	25/3	26/3	New 27/3E	Old 27/3E	New 28/3E	Old 28/3E	New 29/3E	Old 29/3E	Co's 27/3E
(\$mn, except where noted)												
Order		270,883	148,120									
	% y-y	-18.0	-45.3									
Backlog		182,397	149,700									
	% y-y	16.0	-17.9									
[New]												
Sales		245,721	180,838	238,933	235,079	343,000	309,200	425,300	385,500	511,100	462,500	340,000
	% y-y	0.1	-26.4	32.1	-1.6	45.9	31.5	24.0	24.7	20.2	20.0	44.6
Equipment		197,200	142,000	191,600	187,100	282,000	246,200	352,100	311,200	424,700	377,100	281,400
	% y-y	-	-28.0	34.9	-2.3	50.7	34.2	24.9	26.4	20.6	21.2	50.4
Service		48,500	38,800	47,200	48,000	61,000	63,000	73,200	74,300	86,400	85,400	58,600
	% y-y	-	-20.0	21.6	1.7	27.1	22.1	20.0	17.9	18.0	14.9	22.1
By application												
NAND		81,100	19,900	23,900	42,300	66,000	49,000	84,500	69,400	109,900	91,600	64,600
	% y-y	-	-75.5	20.1	77.0	56.0	15.8	28.0	41.6	30.1	32.0	52.7
DRAM		39,300	54,300	86,000	72,900	116,000	109,200	151,400	139,900	183,000	171,100	115,600
	% y-y	-	38.2	58.4	-15.2	59.1	54.9	30.5	28.1	20.9	22.3	58.6
Logic+ Foundry		49,100	43,400	57,300	49,400	83,000	73,000	99,200	86,900	114,800	99,400	81,600
	% y-y	-	-11.6	32.0	-13.8	68.0	47.8	19.5	19.0	15.7	14.4	65.2
Other		27,000	23,500	26,300	21,200	17,000	15,000	17,000	15,000	17,000	15,000	17,000
	% y-y	-	-13.0	11.9	-19.4	-19.8	-29.2	0.0	0.0	0.0	0.0	-19.8
[Old]												
Sales		245,721	180,838	238,933	235,079							340,000
	% y-y	0.1	-26.4	32.1	-1.6							44.6
Equipment		169,537	118,300	164,300	140,000							187,300
	% y-y	-6.7	-30.2	38.9	-14.8							33.8
Service		76,184	62,500	74,600	95,100							92,700
	% y-y	19.7	-18.0	19.4	27.5							-2.5
By application												
NAND		73,600	15,300	19,900	40,000							
	% y-y	9.2	-79.2	30.1	101.0							
DRAM		33,200	46,200	77,700	43,000							
	% y-y	-38.6	39.2	68.2	-44.7							
Logic+ Foundry		50,300	43,900	56,000	50,700							
	% y-y	-10.7	-12.7	27.6	-9.5							
Other		12,400	12,900	9,000	6,200							
	% y-y	209.8	4.0	-30.2	-31.1							
FY-average forex rates												
USD/JPY		135.5	143.6	152.4	150.7	159.8	159.8	160.0	160.0	160.0	160.0	

Source: Company data, Nomura estimates

Fig. 2: Consolidated segment information (quarterly)

Consolidated segment information		25/3				26/3				27/3			
(¥mn, except where noted)		Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2E	Q3E	Q4E
Sales		65,224	49,324	60,117	64,268	51,789	65,416	55,852	62,021	75,414	86,000	85,000	96,586
	% y-y	99.4	9.6	11.4	30.7	-20.6	32.6	-7.1	-3.5	45.6	31.5	52.2	55.7
Equipment										58,400	72,000	70,000	81,600
	% y-y									-	-	-	-
Services										17,000	14,000	15,000	15,000
	% y-y									-	-	-	-
[By equipment]													
By application						14,000	17,500	6,700	5,000	9,100	13,000	20,000	23,900
NAND	% y-y					-	-	-	-	-35.0	-25.7	198.5	378.0
DRAM	% y-y					9,800	17,500	19,600	25,600	25,000	31,000	28,000	32,000
	% y-y					-	-	-	-	155.1	77.1	42.9	25.0
Logic + Foundry	% y-y					10,900	14,900	10,600	14,300	19,700	25,000	18,000	20,300
	% y-y					-	-	-	-	80.7	67.8	69.8	42.0
Other	% y-y					5,200	3,200	6,700	5,600	4,600	3,000	4,000	5,400
	% y-y					-	-	-	-	-11.5	-6.3	-40.3	-3.6
[Old]													
Sales		65,224	49,324	60,117	64,268	51,789	65,416	55,852	62,021				
	% y-y	99.4	9.6	11.4	30.7	-20.6	32.6	-7.1	-3.5				
Equipments		43,900	31,500	42,000	47,000	31,700	41,600	31,300	35,500				
	% y-y	137.3	20.2	12.0	30.2	-27.8	32.1	-25.5	-24.5				
Services		21,400	17,900	18,200	17,300	20,100	23,900	24,600	26,600				
	% y-y	50.7	-4.8	11.0	32.1	-6.1	33.5	35.2	53.8				
[By equipment (old classification)]													
By application						12,700	16,400	6,000	4,900				
NAND	% y-y	6,000	2,500	6,500	5,900	130.8	-19.4	22.6	37.2	111.7	556.0	-7.7	-16.9
DRAM	% y-y	24,000	14,500	17,600	22,100	421.7	35.5	17.3	39.0	6,400	10,200	12,400	14,000
	% y-y	421.7	35.5	17.3	39.0	-73.3	-29.7	-29.5	-36.7	-73.3	-29.7	-29.5	-36.7
Logic + Foundry	% y-y	11,000	12,700	15,700	16,200	11,000	14,600	10,300	14,800	11,000	14,600	10,300	14,800
	% y-y	31.0	47.7	22.7	14.9	0.0	15.0	-34.4	-8.6	0.0	15.0	-34.4	-8.6
Other	% y-y	3,000	1,800	2,300	2,500	3,000	1,800	2,300	2,500	3,000	1,800	2,300	2,500
	% y-y	3.4	-51.4	-48.9	38.9	-40.0	-77.8	8.7	-40.0	3.4	-51.4	-48.9	38.9

Source: Company data, Nomura estimates

Fig. 3: Consolidated income statement

Consolidated income statement		23/3	24/3	25/3	26/3	New 27/3E	Old 27/3E	New 28/3E	Old 28/3E	New 29/3E	Old 29/3E	Co's 27/3E
(¥mn, except where noted)												
Sales		245,721	180,838	238,933	235,079	343,000	309,200	425,300	385,500	511,100	462,500	340,000
	% y-y	0.1	-26.4	32.1	-1.6	45.9	31.5	24.0	24.7	20.2	20.0	44.6
Gross profits		100,805	74,965	101,743	96,810	147,500	132,400	188,200	170,200	231,100	208,700	146,200
	% y-y	-5.9	-25.6	35.7	-4.8	52.4	36.8	27.6	28.5	22.8	22.6	51.0
Margin (%)		41.0	41.5	42.6	41.2	43.0	42.8	44.3	44.2	45.2	45.1	43.0
SG&A expenses		43,449	44,412	50,518	55,114	66,800	64,400	74,500	71,400	80,800	77,200	66,800
	% y-y	22.7	2.2	13.7	9.1	21.2	16.8	11.5	10.9	8.5	8.1	21.2
As % of sales		17.7	24.6	21.1	23.4	19.5	20.8	17.5	18.5	15.8	16.7	19.6
Operating profits		56,064	30,745	51,320	41,836	80,900	68,200	113,900	99,000	150,500	131,700	79,400
	% y-y	-20.6	-45.2	66.9	-18.5	93.4	63.0	40.8	45.2	32.1	33.0	89.8
Margin (%)		22.8	17.0	21.5	17.8	23.6	22.1	26.8	25.7	29.4	28.5	23.4
Adjusted operating profits		64,251	37,839	57,753	47,596	87,500	74,200	120,500	105,000	157,100	137,700	86,000
	% y-y	-19.1	-41.1	52.6	-17.6	83.8	55.9	37.7	41.5	30.4	31.1	80.7
Margin (%)		26.1	20.9	24.2	20.2	25.5	24.0	28.3	27.2	30.7	29.8	25.3
Adjusted EBITDA		68,185	42,415	64,471	55,970	98,000	84,400	133,000	116,900	170,400	149,900	
	% y-y	-17.9	-37.8	52.0	-13.2	75.1	50.8	35.7	38.5	28.1	28.2	
Margin (%)		27.7	23.5	27.0	23.8	28.6	27.3	31.3	30.3	33.3	32.4	
Pretax profits		55,895	29,757	50,789	40,739	79,800	67,100	112,800	97,900	149,400	130,600	78,300
	% y-y	-19.3	-46.8	70.7	-19.8	95.9	64.7	41.4	45.9	32.4	33.4	92.2
Margin (%)		22.7	16.5	21.3	17.3	23.3	21.7	26.5	25.4	29.2	28.2	23.0
Profits attributable to owners of parent		40,305	22,374	36,004	30,099	59,100	49,700	83,500	72,400	110,600	96,600	55,500
	% y-y	-21.5	-44.5	60.9	-16.4	96.4	65.1	41.3	45.7	32.5	33.4	84.4
Margin (%)		16.4	12.4	15.1	12.8	17.2	16.1	19.6	18.8	21.6	20.9	16.3
Adjusted profits attributable to owners of parent		45,985	27,296	42,303	34,095	63,800	53,800	88,200	76,500	115,100	101,100	60,000
	% y-y	-17.2	-40.6	55.0	-19.4	87.1	57.8	38.2	42.2	30.5	32.2	76.0
Margin (%)		18.7	15.1	17.7	14.5	18.6	17.4	20.7	19.8	22.5	21.9	17.6
Dividend per share (¥)		0	11	37	37	55	55	80	80	100	100	65
Interim (¥)		0	0	18	18	25	25	40	40	50	50	32
FY-end (¥)		0	11	19	19	30	30	40	40	50	50	33
Dividend payout ratio based on adjusted profits (%)		0.0	9.3	20.4	25.3	20.1	23.8	20.9	24.2	19.5	22.5	

Note: (1) Adjusted operating profits = operating profits (IFRS) - other income + other costs + amortization of intangible assets identified from business combinations + standalone related costs + stock-based compensation expenses (excluding performance-linked stock-based compensation schemes). Adjusted profits attributable to owners of the parent = profits attributable to owners of the parent - other income + other costs + amortization of intangible assets identified from business combinations + standalone-related costs + stock-based compensation expenses (excluding performance-linked stock-based compensation schemes) + tax adjustments for adjustment items. Adjusted EBITDA = operating profits (IFRS) - other income + other costs + amortization of intangible assets identified from business combinations + standalone-related costs + stock-based compensation expenses (excluding performance-linked stock-based compensation schemes) + depreciation and amortization excluding amortization of intangible assets identified from business combinations. (2) Dividend payout ratio calculation based on adjusted EPS.

Source: Company data, Nomura

Fig. 4: Consolidated income statement (quarterly)

Consolidated income statement	25/3				26/3				27/3			
(¥mn, except where noted)	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2E	Q3E	Q4E
Sales	65,224	49,324	60,117	64,268	51,789	65,416	55,852	62,021	75,414	86,000	85,000	96,586
% y-y	99.4	9.6	11.4	30.7	-20.6	32.6	-7.1	-3.5	45.6	31.5	52.2	55.7
Operating profits	17,878	9,562	12,274	11,606	9,717	12,993	9,809	9,317	15,926	19,800	20,300	24,874
% y-y	348.1	1.9	14.8	73.7	-45.6	35.9	-20.1	-19.7	63.9	52.4	107.0	167.0
Margin (%)	27.4	19.4	20.4	18.1	18.8	19.9	17.6	15.0	21.1	23.0	23.9	25.8
Normalized adjusted operating profits	19,382	11,299	13,876	13,196	10,902	14,439	11,290	10,965	17,371	21,300	21,800	27,029
% y-y	245.2	2.4	11.9	50.1	-43.8	27.8	-18.6	-16.9	59.3	47.5	93.1	146.5
Margin (%)	29.7	22.9	23.1	20.5	21.1	22.1	20.2	17.7	23.0	24.8	25.6	28.0
Profits attributable to owners of parent	13,302	4,751	8,004	9,947	6,776	8,782	7,264	7,277	11,558	14,000	14,400	19,142
% y-y	401.0	-22.8	1.1	76.1	-49.1	84.8	-9.2	-26.8	70.6	59.4	98.2	163.0
Margin (%)	20.4	9.6	13.3	15.5	13.1	13.4	13.0	11.7	15.3	16.3	16.9	19.8
Normalized adjusted net income	14,345	7,262	9,646	11,050	7,598	9,785	8,292	8,420	12,548	15,100	15,500	20,652
% y-y	279.3	-0.6	6.0	55.4	-47.0	34.7	-14.0	-23.8	65.1	54.3	86.9	145.3
Margin (%)	22.0	14.7	16.0	17.2	14.7	15.0	14.8	13.6	16.6	17.6	18.2	21.4

Source: Company data, Nomura estimates

Fig. 5: Consolidated balance sheet

Consolidated balance sheet	23/3	24/3	25/3	26/3	New 27/3E	Old 27/3E	New 28/3E	Old 28/3E	New 29/3E	Old 29/3E
(¥mn)										
Cash & equivalents	106,053	92,619	44,755	56,543	67,500	72,100	71,700	74,100	83,900	83,300
Accounts receivable	50,617	31,994	42,835	37,941	55,400	49,900	68,700	62,200	82,600	74,600
Inventory assets	67,197	87,682	83,200	88,890	129,700	116,900	160,800	145,700	193,200	174,800
PPE/intangible long-term assets	81,743	92,377	101,043	104,875	117,800	115,700	128,700	124,800	128,800	121,600
Other assets	67,929	70,761	69,679	71,409	71,500	71,500	71,500	71,500	71,500	71,500
Total assets	373,539	375,433	341,512	359,658	441,900	426,100	501,400	478,300	560,000	525,800
Accounts payable	41,790	36,667	23,606	25,354	37,000	33,300	45,900	41,500	55,200	49,800
Interest-bearing debt	99,206	93,018	60,184	49,865	68,100	68,100	68,100	68,100	68,100	68,100
Net interest-bearing debt	-6,847	399	15,429	-6,678	600	-4,000	-3,600	-6,000	-15,800	-15,200
Other liabilities	71,662	58,360	61,554	65,169	74,000	71,300	82,400	79,200	91,700	87,500
Total liabilities	212,658	188,045	145,344	140,388	179,100	172,700	196,400	188,800	215,000	205,400
Total shareholders' equity	160,881	187,388	196,168	219,270	262,800	253,400	305,000	289,500	345,000	320,400
Minority interests, etc	0	0	0	0	0	0	0	0	0	0
Total liabilities and net assets	373,539	375,433	341,512	359,658	441,900	426,100	501,400	478,300	560,000	525,800

Source: Company data, Nomura estimates

Fig. 6: Consolidated cash flow, key financial indicators

Consolidated cash flow	23/3	24/3	25/3	26/3	New 27/3E	Old 27/3E	New 28/3E	Old 28/3E	New 29/3E	Old 29/3E
(¥mn)										
Profits attributable to owners of parent	40,305	22,374	36,004	30,099	59,100	49,700	83,500	72,400	110,600	96,600
Depreciation	10,304	10,945	12,625	14,279	16,000	15,700	19,100	17,900	19,900	18,200
Change in working capital	-28,300	-7,000	-19,400	1,000	-46,600	-32,000	-35,500	-32,900	-37,000	-33,200
Other	7,684	-23,377	9,248	3,423	9,900	6,600	8,400	7,900	9,300	8,300
Operating cash flow	29,993	2,942	38,477	48,801	38,400	40,000	75,500	65,300	102,800	89,900
L-T assets (PPE/intangible) acquisition	-6,568	-20,454	-20,348	-16,862	-30,000	-27,000	-30,000	-27,000	-20,000	-15,000
Other	-1,257	8,504	-7,358	-92	0	0	0	0	0	0
Investment cash flow	-7,825	-11,950	-27,706	-16,954	-30,000	-27,000	-30,000	-27,000	-20,000	-15,000
Change in borrowings	-24,500	-6,000	-31,500	-12,800	18,200	18,200	0	0	0	0
Dividend paid	0	0	-6,711	-8,617	-10,300	-10,300	-16,300	-16,300	-20,600	-20,700
Share buybacks	0	0	-18,518	0	-5,300	-5,300	-25,000	-20,000	-50,000	-45,000
Other	-613	-312	-1,377	-97	0	0	0	0	0	0
Financial cash flow	-25,113	-6,312	-58,106	-21,514	2,600	2,600	-41,300	-36,300	-70,600	-65,700
Consolidated key financial indicators										
(¥mn, except where noted)										
Free cash flow	22,168	-9,008	10,771	31,847	8,400	13,000	45,500	38,300	82,800	74,900
Adjusted EBITDA	68,185	42,415	64,471	55,970	98,000	84,400	133,000	116,900	170,400	149,900
Adjusted ROE (%)	32.8	15.7	22.1	16.4	26.5	22.8	31.1	28.2	35.4	33.2
Adjusted ROA (%)	17.6	10.1	16.1	13.6	21.8	18.9	25.5	23.2	29.6	27.4
Net D/E ratio (x)	0.0	0.0	0.1	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Shareholders' equity to total assets (%)	43.1	49.9	57.4	61.0	59.5	59.5	60.8	60.5	61.6	60.9

Source: Company data, Nomura estimates

Appendix A-1

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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Kokusai Electric	6525 JP	JPY 9,306	17-Aug-2026	Buy	N/A	A6,A11,A24,A25

A6 The Nomura Group expects to receive or intends to seek compensation for investment banking services from the subject company in the next three months.

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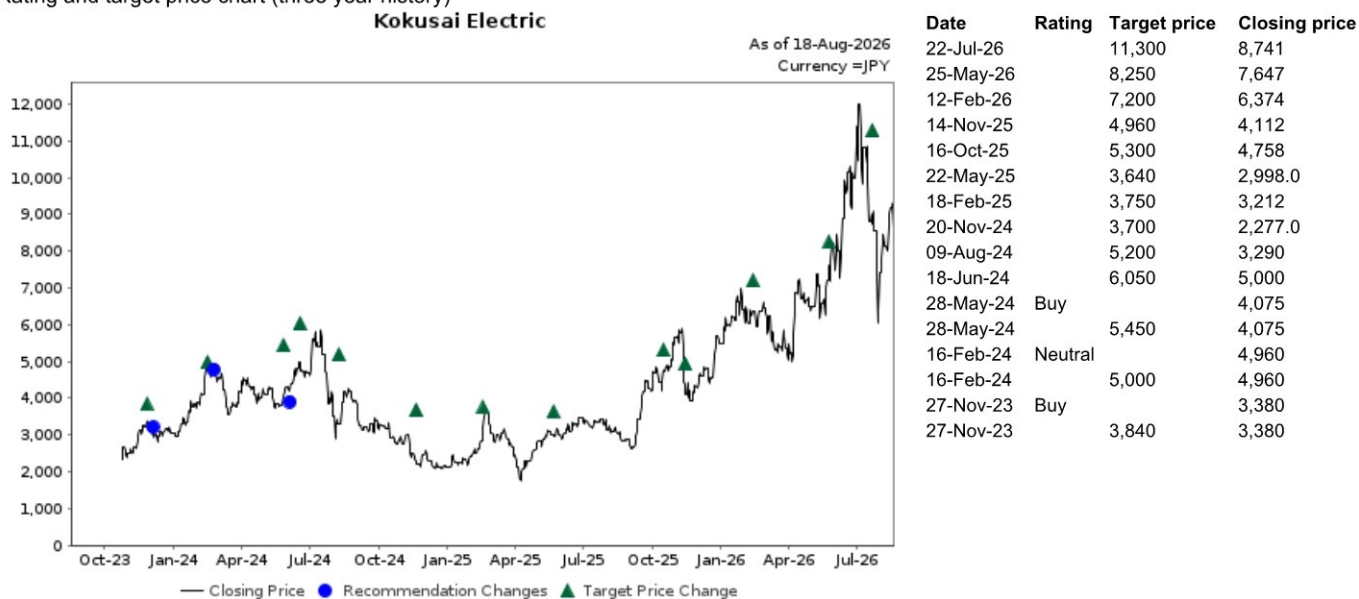
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Kokusai Electric (6525 JP)

JPY 9,306 (17-Aug-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We calculate our target price of ¥11,800 by multiplying our 29/3 adjusted EPS forecast of ¥503.9 by a P/E of 23–24x. Our overarching fair-value P/E for the Japanese SPE sector companies under our coverage is 20–21x, which references the Russell/Nomura Large Cap Index (ex financials) average P/E of roughly 15x on 29/3 forecasts as a benchmark, along with a relative P/E of 1.3–1.4x, representing the maximum relative P/E at which sector shares traded during the recovery phase of the previous SPE cycle. We apply a premium of around 10–20% to the sector average fair-value P/E, as our adjusted operating profit CAGR forecast for the two years from 29/3 of around 12% is higher than the sector average of around 11.5%.

Risks that may impede the achievement of the target price Downside risks to our target price include: (1) contraction in capex by semiconductor manufacturers stemming from changes in demand; (2) disappearance of transactions with particular customers; (3) further intensification of US–China trade friction; and (4) fiercer competition in vertical furnaces, including batch-type ALD systems.

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Transactions involving convertible bonds are subject to a sales commission of up to 1.10% (tax included) of the transaction amount (or a commission of ¥4,400 (tax included) if this would be less than ¥4,400). When convertible bonds are purchased via OTC transactions (including offerings), only the purchase price shall be paid, with no sales commission charged. However, Nomura Securities may charge a separate fee for OTC transactions, as agreed with the customer. Convertible bonds carry the risk of losses owing to factors such as interest rate fluctuations and price fluctuations in the underlying stock. In addition, convertible bonds denominated in foreign currencies also carry the risk of losses owing to factors such as foreign exchange rate fluctuations.

When bonds are purchased via public offerings, secondary distributions, or other OTC transactions with Nomura Securities, only the purchase price shall be paid, with no sales commission charged. Bonds carry the risk of losses, as prices fluctuate in line with changes in market interest rates. Bond prices may also fall below the invested principal as a result of such factors as changes in the management and financial circumstances of the issuer, or changes in third-party valuations of the bond in question. In addition, foreign currency-denominated bonds also carry the risk of losses owing to factors such as foreign exchange rate fluctuations.

When Japanese government bonds (JGBs) for individual investors are purchased via public offerings, only the purchase price shall be paid, with no sales commission charged. As a rule, JGBs for individual investors may not be sold in the first 12 months after issuance. When JGBs for individual investors are sold before maturity, an amount calculated via the following formula will be subtracted from the par value of the bond plus accrued interest: (1) for 10-year variable rate bonds, an amount equal to the two preceding coupon payments (before tax) x 0.79685 will be used, (2) for 5-year and 3-year fixed rate bonds, an amount equal to the two preceding coupon payments (before tax) x 0.79685 will be used.

When inflation-indexed JGBs are purchased via public offerings, secondary distributions (uridashi deals), or other OTC transactions with Nomura Securities, only the purchase price shall be paid, with no sales commission charged. Inflation-indexed JGBs carry the risk of losses, as prices fluctuate in line with changes in market interest rates and fluctuations in the nationwide consumer price index. The notional principal of inflation-indexed JGBs changes in line with the rate of change in nationwide CPI inflation from the time of its issuance. The amount of the coupon payment is calculated by multiplying the coupon rate by the notional principal at the time of payment. The maturity value is the amount of the notional principal when the issue becomes due. For J117 and subsequent issues, the maturity value shall not undercut the face amount. Purchases of investment trusts (and sales of some investment trusts) are subject to a purchase or sales fee of up to 5.5% (tax included) of the transaction amount. Also, a direct cost that may be incurred when selling investment trusts is a fee of up to 2.0% of the unit price at the time of redemption. Indirect costs that may be incurred during the course of holding investment trusts include, for domestic investment trusts, an asset management fee (trust fee) of up to 5.5% (tax included/annualized basis) of the net assets in trust, as well as fees based on investment performance. Other indirect costs may also be incurred. For foreign investment trusts, indirect fees may be incurred during the course of holding such as investment company compensation.

Investment trusts invest mainly in securities such as Japanese and foreign equities and bonds, whose prices fluctuate. Investment trust unit prices fluctuate owing to price fluctuations in the underlying assets and to foreign exchange rate fluctuations. As such, investment trusts carry the risk of losses. Fees and risks vary by investment trust. Maximum applicable fees are subject to change; please thoroughly read the written materials provided, such as prospectuses or documents delivered before making a contract.

In interest rate swap transactions and USD/JPY basis swap transactions ("interest rate swap transactions, etc."), only the agreed transaction payments shall be made on the settlement dates. Some interest rate swap transactions, etc. may require pledging of margin collateral. In some of these cases, transaction payments may exceed the amount of collateral. There shall be no advance notification of required collateral value or collateral ratios as they vary depending on the transaction. Interest rate swap transactions, etc. carry the risk of losses owing to fluctuations in market prices in the interest rate, currency and other markets, as well as reference indices. Losses incurred as such may exceed the value of margin collateral, in which case margin calls may be triggered. In the event that both parties agree to enter a replacement (or termination)

transaction, the interest rates received (paid) under the new arrangement may differ from those in the original arrangement, even if terms other than the interest rates are identical to those in the original transaction. Risks vary by transaction. Please thoroughly read the written materials provided, such as documents delivered before making a contract and disclosure statements.

In OTC transactions of credit default swaps (CDS), no sales commission will be charged. When entering into CDS transactions, the protection buyer will be required to pledge or entrust an agreed amount of margin collateral. In some of these cases, the transaction payments may exceed the amount of margin collateral. There shall be no advance notification of required collateral value or collateral ratios as they vary depending on the financial position of the protection buyer. CDS transactions carry the risk of losses owing to changes in the credit position of some or all of the referenced entities, and/or fluctuations of the interest rate market. The amount the protection buyer receives in the event that the CDS is triggered by a credit event may undercut the total amount of premiums that he/she has paid in the course of the transaction. Similarly, the amount the protection seller pays in the event of a credit event may exceed the total amount of premiums that he/she has received in the transaction. All other conditions being equal, the amount of premiums that the protection buyer pays and that received by the protection seller shall differ. In principle, CDS transactions will be limited to financial instruments business operators and qualified institutional investors. Transfers of equities to another securities company via the Japan Securities Depository Center are subject to a transfer fee of up to ¥11,000 (tax included) per issue transferred depending on volume. No account fee will be charged for marketable securities or monies deposited.

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